

Proposal to Digitize Dar es Salaam's Rental Ecosystem and Unlock New Revenue Streams

This proposal outlines a significant opportunity for ASAS to leverage its market leadership by digitizing Dar es Salaam's large and inefficient rental ecosystem, introducing a trusted digital platform, ASAS can solve critical pain points for both landlords and tenants, capturing a substantial share of a multi-trillion shilling informal market and creating a powerful new revenue stream.

Market Size	Market Share	Average Rent
TZS 2 Trillion annual rental market with 683,000 rental households	44.4% of all households in Dar es Salaam live in privately rented homes	Conservative estimate of TZS 250,000 per month per household

The Market Opportunity: A TZS 2 Trillion Rental Economy

According to the 2022 Population and Housing Census, Dar es Salaam Region is a major urban hub with **5.38 million residents** and **1.54 million private households**. Analysis of this data reveals a massive rental market: 44.4% of all households in Dar es Salaam live in privately rented homes, translating to approximately 683,000 rental households.

This demand is consistent across all municipalities, with private rentals accounting for 50.3% of households in Kinondoni, 45.1% in Temeke, and 44.9% in Ubungo. This creates an enormous, recurring economic engine worth over **TZS 2 trillion annually** (approximately \$820 million).

Currently, a significant portion of this value is captured informally, presenting an unprecedented opportunity for digital transformation and market formalization.

The Systemic Challenge: The 'Dalali' Dominated System

Research on Tanzania's rental housing ecosystem highlights that the market is overwhelmingly dominated by an informal network of brokers, or dalalis. While they fill a market need, their methods create significant friction and value loss for all parties.



Property Search

Tenants rely on informal networks and word-of-mouth referrals



Broker Mediation

Dalalis control access and information flow between parties



High Transaction Costs

Multiple fees and commissions reduce efficiency

Pain Points in the Current System

For Tenants:

- Rent-seekers face high costs, including viewing fees of **TZS 10,000–20,000 per property**
- Commission payments equivalent to **one full month's rent**
- The process lacks transparency and standardization
- Limited property visibility and choice

For Landlords:

- Property owners suffer from **prolonged vacancy periods** due to limited reach of individual dalalis
- Little control over marketing and tenant-vetting process
- Inconsistent rental income due to inefficient matching
- Lack of professional property management standards



This informal system represents a significant "value leakage," where **billions of shillings** are transacted with little efficiency, transparency, or trust.

The Strategic Opportunity for ASAS & Proposed Next Steps

ASAS is uniquely positioned to formalize and monetize this ecosystem. With a credible brand built on 500+ completed projects and a large resident base, ASAS can introduce a digital property management and leasing platform that becomes the trusted standard in the market.

500+

Completed Projects

Established market credibility and brand trust

11%

Revenue Enhancement

Projected increase from TZS 1M to TZS 1.11M monthly per property

2T

Market Potential

Total addressable rental market in TZS

Strategic Benefits

- 1

Create a New Revenue Stream

Capture a percentage of the TZS 2 trillion rental market through commissions and subscription fees, building a high-margin revenue layer on top of ASAS's core business.
- 2

Enhance Brand Leadership

Position ASAS as the company that not only builds premier real estate but also digitizes the entire rental value chain, setting new industry standards.
- 3

Monetize Existing Assets

Offer this service to both ASAS's own properties and third-party landlords, scaling the platform across the city and maximizing asset utilization.
- 4

Capture Valuable Market Data

Gain unparalleled insights into rental trends, pricing, and demand to inform future development projects and strategic decisions.

Proposed Next Steps

I would be grateful for the opportunity to present this concept in a brief meeting. I have prepared a detailed financial model, a working mockup of the digital platform, and a strategic implementation plan that demonstrates the viability and profitability of this venture.

This initiative aligns perfectly with ASAS's mission to lead in innovation, transparency, and excellence in Tanzania's real estate sector. We can begin by showcasing the potential within ASAS's existing portfolio before illustrating the model for market-wide expansion.

Contact Information

Project Lead

Mathias Silas

Email Communication

mattskisute@gmail.com

Direct Contact

+255 653 117 118

+255 753 144 058
